

Tenure Band	Churn Rate
36 – 47 months	■ ■ ■ ■ ■ 19.52%
48 – 59 months	■ ■ ■ 15.00%
60 – 72 months	■ 6.68%

3.3 Tech Support and Service Usage

Tech support availability has a **strong influence** on churn. Customers without tech support are nearly three times more likely to leave than those with support enabled, underscoring the importance of service assistance in retention.

Support Status	Churn Rate
No Tech Support	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 41.64%
Tech Support Enabled	■ ■ ■ ■ 15.17%
No Internet Service	■ ■ 7.40%

3.4 Monthly Charges and Churn

Churn increases significantly in mid-to-high pricing segments, peaking near **40%** in the R70–R100 range. However, very high-value customers (R110–R120) show improved retention, suggesting premium users may perceive greater value or receive enhanced service.

Charge Band	Churn Rate
R10 – R20	■ ■ 8.97%
R20 – R30	■ ■ ■ 10.29%
R30 – R40	■ ■ ■ ■ ■ ■ ■ ■ 27.72%
R40 – R50	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 32.39%
R50 – R60	■ ■ ■ ■ ■ ■ 20.88%
R60 – R70	■ ■ ■ ■ ■ ■ 19.45%
R70 – R80	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 39.82%
R80 – R90	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 36.12%
R90 – R100	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 37.80%
R100 – R110	■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ ■ 32.95%
R110 – R120	■ ■ ■ ■ 13.70%

4. Key Retention Drivers

- Contract type — strongest single predictor of churn.
- Customer tenure — highest risk during the first 12 months.
- Service usage — particularly Tech Support and Internet Service availability.
- Pricing sensitivity — elevated churn in mid-to-high monthly charge segments.

5. Customer Lifetime Trends

Customer churn is highest during the early stages of the lifecycle, particularly within the first 12 months. After this period, churn rates decline significantly, indicating increased loyalty and service dependency over time.

Customers who remain beyond 24 months demonstrate strong retention stability, suggesting that long-term customers are far less likely to switch providers.

6. Recommendations

6.1 Improve Contract Retention

- Encourage migration from month-to-month contracts to annual or two-year plans.
- Offer discounts or incentives for long-term commitment.

6.2 Strengthen Early Customer Experience

- Improve onboarding processes for new customers.
- Provide targeted support during the first 12 months, where churn risk is highest.

6.3 Enhance Customer Support Services

- Promote Tech Support adoption across the customer base.
- Improve service quality for customers without support packages.

6.4 Review Pricing Strategy

- Investigate churn in mid-to-high pricing segments (R70–R100 range).
- Introduce tailored pricing or bundle packages to improve perceived value.

6.5 Focus on Customer Retention Programs

- Introduce loyalty rewards for long-tenure customers.
- Provide personalised retention offers for high-risk segments.

7. Conclusion

The analysis confirms that customer churn is primarily driven by **contract type**, **early lifecycle stage**, and **pricing sensitivity**. Month-to-month customers and new customers represent the highest-risk segments.

Improving onboarding, encouraging long-term contracts, and strengthening customer support are the key strategic levers to reduce churn and improve overall customer retention.
